

Flood Insurance

In some areas, flood insurance is also a crucial consideration. It probably won't surprise you to learn that flood insurance protects a homeowner in the event of a flood. A few inches of water in the average house can cost thousands to repair.

The National Flood Insurance Act of 1968 established flood mitigation measures for flood-prone areas and subsidies for flood insurance for homeowners in these areas.

Property located in a low-lying area close to a body of water that may rise is in a floodplain. Floodplains are either **base** (100-year floodplain, or a 1% chance of flood) or **moderate** (500-year-floodplain, or a 0.2% chance of flooding). What does 100-year or 500-year floodplain mean? A 100-year floodplain, for example, means that there's a one in 100 (1%) chance that a flood will occur in a given year.

Floodplains have many environmental benefits, but can wreak havoc on a home if it hasn't been built to sit above the floodwaters. Flood insurance isn't standard with most homeowners insurance policies, so it often has to be purchased or bundled separately.

Lenders that fall under federal regulations must require their borrowers who live in special flood hazard areas (SFHAs) to obtain flood insurance as a condition of obtaining their mortgages. Lenders may also require flood insurance for properties in flood zones, depending on their risk level. Flood zones are geographic areas that FEMA has defined according to varying levels of flood risk. As with other forms of insurance, cost is based on value.

Because flood insurance is not usually standard with most homeowners insurance policies, it must be purchased separately or bundled with the homeowner policy. You can imagine that some insurers would be hesitant about writing policies for homeowners in flood-prone areas. Because of this, a program called the **National Flood Insurance Program (NFIP)**, which is administered by the Federal Emergency Management Agency (FEMA), was established to help homeowners in flood hazard areas obtain insurance. Communities within an SFHA must have a record that demonstrates that all new buildings and improvements are properly elevated on file. FEMA has developed an elevation certificate for this use; this certificate can also be used by the homeowner to obtain flood insurance.